

HEDGEYE DAILY DIGEST

Tuesday, July 28, 2026 · GMT+8 Edition

***Oil is the switch that flips the tape** — and this week it flipped everything toward **#Quad3**: decelerating growth, accelerating inflation. Crude is up nearly **29% month-to-date**, dragging Treasury yields higher and mega-cap Tech lower, while Energy, Utilities, and REITs quietly lead. Hedgeye's message is simple and uncomfortable: follow the Signal, own the Quad3 winners, fade the "Bag7," and accept that the Fed's next move may be a **hike, not a cut**.*

Coverage note: This run falls on Tuesday, July 28 (GMT+8). Hedgeye's most recent publishing day is **Monday, July 27 (EDT)** — treated here as "Today's Publications." The prior session is **Friday, July 24 (EDT)** — "Yesterday's Publications." A normal weekend publishing gap (Sat 7/25–Sun 7/26) sits between them.

TODAY'S PUBLICATIONS — Monday, July 27, 2026

EARLY LOOK — "Walking the Tightrope"

Early Look · Matthew Cooper · 07/27 07:55 AM EDT (07:55 PM GMT+8)

Cooper frames the market through a **Jack Nicklaus** golf metaphor: the best players accept the rain rather than fight it. Translation — **#Quad3** volatility can flip the daily direction of stocks, bonds, yields, and oil, but the regime itself is intact. On Thursday, **Brent broke above \$100** for the first time in two months and the tape went stocks-down/bonds-down/yields-up/oil-up; by Monday's premarket it reversed to oil-down/yields-down/futures-up as the US paused strikes for a third night and **Iran–Oman talks on Hormuz** continued. Same regime, opposite sign.

Oil is driving the setup. WTI rose **+9.2%** last week to **\$89.31** (oil vol/OVX ripped to **68** vs ~51 a month ago); Brent **+9.9%** to **\$96.78**; the CRB Commodities Index reflatd **+3.6%** to **395.67**. Crucially, **Nat Gas fell -0.8%** on the week (**-11.8% MTD**) — signaling oil-specific supply/geopolitics, not broad energy demand. CFTC crude net length sits at **153,515 contracts**, below its 3M/6M/1Y averages, so despite oil **+28.9% MTD** the futures crowd is still positioned light.

The curve backed up, front-end leading. UST 2yr **+15bps** to **4.34%**, 10yr **+13bps** to **4.68%**, 30yr **+9bps** to **5.16%**; 2s10s flattened to **35bps**; MOVE (bond vol) **+8.4%**. Consensus has ~**36% odds** of a hike Wednesday, but with no forward guidance under **Warsh**, Cooper argues the market is signaling the next move is **higher, not lower**.

Quad3 leadership is clear. Energy **XLE +3.4%** w/w (**+12.3% MTD**) vs Consumer Disc **XLY -6.7% MTD** and Tech **XLK -7.7% MTD**; Utilities **XLU +2.5%**, REITs **XLRE +4.4% MTD** — the exact top-3 backtested Quad3 sector styles. The de-rate is a factor story: High Beta **-5.2%** last month vs Low Beta **+3.7%**; top-quartile EPS growth **-4.1%** vs bottom-quartile **+3.5%**. With **133 of 497 S&P** names in, blended EPS growth is **+69.8%** and Tech EPS growth **+189.7%** — yet XLK is still down on the month. "Good numbers are clearly not the catalyst this earnings season." Mega-cap earnings loom: **MSFT/META Wednesday, AAPL/AMZN Thursday** — all Bearish TREND except **AAPL**.

Investment implication: Walk the tightrope by following the Signal. The Quad3 allocation is generating the alpha while stocks and bonds fall together.

Risk Range™ Signals — Monday, July 27

Asset	Immediate-Term Range	TREND
UST 10Y Yield	4.55 - 4.71	Bullish
High Yield (HYG)	79.00 - 79.68	Neutral

Asset	Immediate-Term Range	TREND
IG Corp (LQD)	106.1 - 107.5	Bearish
S&P 500 (SPX)	7,385 - 7,599	Bullish
Nasdaq Comp	24,819 - 25,808	Bearish
Russell 2000	2,922 - 3,000	Bullish
Tech (XLK)	171 - 183	Bearish
Health Care (XLV)	158 - 165	Bullish
Utilities (XLU)	45.00 - 46.91	Bullish
Real Estate (XLRE)	45.01 - 46.44	Bullish
VIX	15.12 - 19.40	Bearish
US Dollar (USD)	100.46 - 101.51	Bullish
WTI Crude	80.20 - 92.18	Bullish
Nat Gas	2.70 - 2.99	Bearish
Gold	3,963 - 4,162	Bearish
Copper	6.18 - 6.55	Bullish
Silver	54 - 61	Bearish

THE MACRO SHOW — Summary Notes | Monday, July 27

The Macro Show · 07/27 10:23 AM EDT · Matt Cooper & Daryl Jones

TL;DR — Bullish: UST Yields, Oil/WTI, **AAPL**, **NVDA**, Health Care (XLV), Utilities (XLU), Real Estate (XLRE), Energy (XLE), US Dollar. **Bearish:** Nasdaq-100 (QQQ), Tech (XLK), IG Credit (LQD).

Rates say higher policy. Global sovereign yields are back to Bullish Trend; the US **2yr** sits **~70bps above the effective fed funds rate** with 2yr real yields at cycle highs — a setup last seen in the **2021–2022 hiking cycle**. A Wednesday hike is possible but unlikely (**~30–40% odds**), while **September** pricing has moved toward a near-full hike. **HYG → Neutral, LQD → Bearish Trend.**

Tech/Mag7 breaks down. Only **Apple** and **Nvidia** remain bullish in the Momentum Tracker; the other five are no longer bullish. Cooper's thesis: the largest Tech names are increasingly sensitive to credit and duration — weakening free cash flow, debt-funded AI capex, and buybacks sacrificed to fund AI that the market isn't rewarding. Rising yields, wider spreads, and higher CDS pricing across the AI capex complex confirm the bearish equity signal.

Quad3 for August. The show assigns **~50%** conditional probability to a Monthly **Quad3** in August. Backtested winners — **Utilities, Energy, Real Estate** — already lead (Energy **+12.3%**, RE **+4.4%**, Utilities **+2.1%** on the month). The July inflation nowcast was nudged up to **~3.48%**. July is provisional **Quad4**; beyond August the model shows **>50% odds of Quad1/Quad2** for Sept–Jan. Quarterly frame stays **Quad4 in Q3, Quad2 in Q4**. On **housing**, the team is building a future rate-cut thesis (>20% of homeowners now above 6% mortgages; existing-home sales **~4.1M**) and researching high-beta beneficiaries like **Compass** — though no long was announced.

MOMO TRACKER — 7 of 9 (& Nasdaq/QQQ) = Bearish TREND

Momentum Stock Tracker · 07/27 09:16 AM EDT · Christian Drake & Ryan Ricci

The headline signal: **7 of 9** tracked mega-caps **plus the Nasdaq/QQQ** are **Bearish TREND**, while **8 of 9 Risk Ranges** show **Upside > Downside**, and **4 “Bag7” names** report earnings this week. Read alongside the Macro Show: only **AAPL** and **NVDA** hold Bullish TREND. (The tracker itself is a data dashboard built off the morning's published Risk Range Signals.)

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 07/27 08:37 AM EDT · McGroarty / Nanai / Salem

Model Portfolio changes go into effect using **Friday, July 24** closing prices. The Daily Dashboard reiterates the team's **"pull vs push"** philosophy (emails only when the research demands it). Trend/Tail levels for the **68 ETFs** are on their standard 3–4 week refresh cycle; a July **Key Callouts** video is pending. Specific line-item buys/sells sit in the linked dashboard rather than the note body.

SIGNAL STRENGTH STOCKS — 67 Stocks (5 Added, 1 Removed)

Signal Strength Stocks · 07/27 11:40 AM EDT

Added: T, XOM, JBS, CRON, SMG. Removed: TTWO. The additions tilt toward the Quad3 winners — telecom (**T**), energy (**XOM**), and staples/ag (**JBS, SMG**) — consistent with the day's Energy/defensive leadership theme.

YESTERDAY'S PUBLICATIONS — Friday, July 24, 2026

EARLY LOOK — "The Way You Make Me Feel (About Selling and Buying Back)"

Early Look · R. Patrick Kent · 07/24 07:50 AM EDT

- **What:** A process-and-psychology Early Look on the discipline of reversing calls when Trade/Trend signals flip.
- **Why:** Markets reward humility, not attachment to yesterday's position. Semis were **+82% YTD** at the start of the month, then **crashed -15%** into last Friday — and if you weren't back in them by Monday's close you underperformed by **~100bps** by mid-week. Oil went back to Bullish Trend, so you add to Energy though it was a sale days earlier.
- **Who/What:** Semiconductors, Energy, grains, copper; single-stock volatility near a **10-year high** relative to the index.
- **How:** Follow Trade and Trend levels; raise the probability of **Quad3** as Energy, grains, and copper rise. Dispersion — not correlation — is running the tape.
- **Key numbers:** Semis **+82% YTD** → **-15%** drawdown; single-stock vol near decade highs vs the index.
- **Takeaway:** "The investor who can't sell what he loved and buy what he hated is not disciplined, he's just stubborn." Respect the signal over the story.

Risk Range™ Signals — Friday, July 24

Asset	Immediate-Term Range	TREND
UST 30Y Yield	5.08 - 5.18	Bullish
UST 10Y Yield	4.55 - 4.73	Bullish
UST 2Y Yield	4.19 - 4.37	Bullish
High Yield (HYG)	79.18 - 79.81	Bearish
IG Corp (LQD)	106.1 - 107.7	Bearish
S&P 500 (SPX)	7,355 - 7,537	Bullish
Nasdaq Comp	24,911 - 25,890	Bearish
Russell 2000	2,901 - 2,982	Bullish
Tech (XLK)	171 - 185	Bearish
Health Care (XLV)	157 - 163	Bullish
Utilities (XLU)	44.54 - 46.71	Bullish
Real Estate (XLRE)	44.25 - 45.66	Bullish

Asset	Immediate-Term Range	TREND
VIX	15.67 - 19.94	Bearish
US Dollar (USD)	100.47 - 101.60	Bullish
WTI Crude	80.93 - 93.41	Bullish
Brent Crude	87 - 102	Bullish
Nat Gas	2.80 - 3.05	Bearish
Gold	3,953 - 4,150	Bearish
Copper	6.15 - 6.56	Bullish
Silver	55 - 61	Bearish

FROM THE DESK — Macro Week Summary Notes | July 24

From the Desk · 07/24 06:16 PM EDT

- **What:** The weekly desk wrap of the research team's key developments and decisions.
- **Why:** A single reference for the week's macro dashboard, commentary, VIX gauge, US Monthly Quad forecast, and Chart of the Week.
- **Key sections:** Macro Dashboard, Weekly Macro Commentary, VIX Gauge, US Monthly Quad Forecast, Chart of the Week, Market Insights.
- **Takeaway:** Consolidates the week's Quad4→Quad3 rotation narrative; full detail sits behind the linked report (teaser only in-feed).

MOMO TRACKER — AMZN/META = Bearish; “Who Gets You Out?!”

Momentum Stock Tracker · 07/24 07:53 AM EDT

- **What:** Momentum update flagging further Mag7 deterioration.
- **Why:** Concentration risk cuts both ways — **GOOGL (-7.1%)** and **TSLA (-14.5%)** together drove ~30% of the S&P 500's decline.
- **Key numbers:** GOOGL -7.1%, TSLA -14.5%, ~30% of the index decline from two names.
- **Takeaway:** The “Mag7” is becoming the “Bag7” — leadership breadth is collapsing; don't chase the bounce.

THE MACRO SHOW — Summary Notes | Friday, July 24

The Macro Show · 07/24 11:01 AM EDT · Ryan Ricci & Matt Cooper

- **What:** Daily show recapping the oil-led macro setup and a bond-short sizing adjustment.
- **Why:** **Brent > \$100 (+40% in ~3 weeks)** on Middle East escalation; inflation broadening beyond oil into wheat/corn/soybeans (all Bullish Trend) and European nat gas at cycle highs.
- **Positioning — Bullish:** Utilities (XLU), Healthcare (XLV). **Bearish:** US Treasury Bonds. Mag7: only **AAPL** and **NVDA** (by a thread) still Bullish Trend.
- **How:** Maintain bond shorts (yields higher) but **cover part at the low end of the risk range**; lean further into inflation beneficiaries.
- **Key numbers:** 10yr broke ~4.67% cycle high, 2yr ~4.35%; market pricing ~1.7 hikes into year-end (first in September); July CPI Nowcast ~3.45% (vs June 3.53%), preliminary August ~3.8%; S&P -1.21%, Consumer Disc -4.61%, Comm Services -3.50%; Mag7 ~11% below peak, ~-8% on the week; DRAM -27% from peak, Korea -20%.
- **Takeaway:** Stocks and bonds are falling together (60/40 offers less protection). Own the working Quad3 sectors — Energy, Utilities, Healthcare, Industrials — and stay selective as Nasdaq/Russell vol sits in the “Chop Bucket.”

CAPITAL ALLOCATION PRO — Model Portfolio Changes | Effective 7/24

Capital Allocation Pro · 07/24 11:27 AM EDT

- **What:** Model Portfolio changes effective on Friday **July 24** closing prices.
- **Why/How:** Driven by the Hubble algorithm plus updated Trend/Tail levels across **68 ETFs**.
- **Takeaway:** Changes catalogued in the linked dashboard; the note reaffirms the “signal, not noise” delivery philosophy. Specific tickers reside in the dashboard rather than the feed body.

SIGNAL STRENGTH STOCKS — 63 Stocks (1 Added, 8 Removed)

Signal Strength Stocks · 07/24 11:18 AM EDT

- **Added:** EAT. **Removed:** AXP, FSLY, KDP, SBUX, ROK, FWONK, CHEF, WST.
- **Takeaway:** The heavy removals (consumer/discretionary and industrial names like **SBUX, KDP, AXP, ROK**) echo the Quad4→Quad3 rotation and the fade in high-beta/consumer exposure.